



INSURANCE AND PENSIONS COMMISSION (IPEC)

REPORT ON

SHORT TERM (NON-LIFE) INSURANCE

FOR THE QUARTER ENDED 30 JUNE 2012

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1. List of Acronyms and Abbreviations

GPW	–	Gross Premium Written
NPW	–	Net Premium Written
IBNR	–	Incurred But Not Reported
ROE	–	Return on Equity
NEP	–	Net Earned Premium
O/S	–	Outstanding
UPR	–	Unearned Premium Reserve
IPEC/Commission	–	Insurance and Pensions Commission

NOTE: Unless stated otherwise, all monetary figures are in United States Dollars

2. Executive Summary

This report details the performance of the short term insurance industry during the quarter ended 30 June 2012. The number of registered and operational short term direct insurers decreased from twenty six (26) to twenty four (24) following the voluntary surrender of the licence by Suremed Insurance Company and the directive issued to Jupiter Insurance Company to stop writing new business. The number of operational short term reinsurers remained 9. The direct short term insurers reported gross premium written of \$109.54 million for the half year ended 30 June 2012 compared with \$84.09 million reported in the comparative period 2011. Non-life reinsurers, on the other hand reported total gross premium written of \$52.37 million for the six months ended 30 June 2012, which compares favorably with \$37.75 million that was reported for the six months ended 30 June 2011. Notwithstanding the increase in the volumes of business underwritten, both direct short term insurers and reinsurers reported decreases in profitability emanating mainly from unrealized losses from valuation of equities as well as depressed investment income. Total profit after tax for short term insurers decreased from \$7.86 million reported for the half year ended 30 June 2011 to \$6.08 million for the half year period under review. On the other hand, total profit after tax for short-term reinsurers decreased from \$4.63 million for the six months ended 30 June 2011 to negative \$1.72 million for the six months ended 30 June 2012. The sector reported an increase in underwriting profits, in line with the increased business volumes. The decrease in the overall profits of the sector driven by the loss in the value of shares, given improved underwriting profits shows that the short term insurance industry is currently highly sensitive to market risk. As at 30 June 2012, all operational short term direct insurers and reinsurers, except SFG Insurance Company, complied with minimum regulatory capital requirements, stipulated in Statutory Instrument 183 of 2009. However, some insurers did not provide for reserves such as IBNR and UPR, thereby overstating their capital positions. Direct short term insurers and reinsurers reported a combined total asset base of \$244.60 million as at 30 June 2012, which reflects an increase from \$237.74 million reported as at 31 March 2012. The combined total asset base for is skewed towards current assets, in tandem with the short term nature of non-life insurance business. Short term insurers reported average premium retention ratio of 46.67% while reinsurers reported an average retention ratio of 70.11%.

SECTION A

3. Short-Term Insurance Companies

3.1. Update on Number of Operational Institutions

There were twenty eight (28) registered direct short term insurers as at 30 June 2012, reflecting no change from the number of registered insurers reported as at 31 March 2012. Out of these registered direct short term insurers, twenty four (24) insurers were operational as at 30 June 2012 compared with twenty six (26) reported as at 31 March 2012.

Jupiter Insurance Company and Suremed Insurance Company, which were operational as at 31 March 2012, were no longer operational as at 30 June 2012. Suremed Insurance Company surrendered its licence during the quarter under review owing to viability challenges which were emanating from the inadequate capitalization of the institution. Jupiter Insurance Company was directed by the Commission to stop writing new business on the back of its insolvency that resulted in failure to meet claims.

In a related matter, Agricultural Insurance Company (AICO) surrendered its licence during the quarter, pending cancellation of the same in terms of **section 22(1) a(x)** of the **Insurance Act [Chapter 24:07]**. Export Credit Guarantee Corporation of Zimbabwe (Private) Limited (ECGC) remained closed to new business and efforts to resuscitate its operations are still ongoing.

3.2. Business Written

The volume of business written by direct short term insurers continued to be on the upward trend with gross premium written amounting to \$109.54 million for the half year ended 30 June 2012 reflecting a 30.27% increase from \$84.09 million reported in the comparative period 2011. The increase in gross premium written was largely driven by increases in motor and engineering insurance which recorded gains of 43.25% and 144.21% from \$30.66 million and \$2.86 million, reported for the half year ended 30 June 2011, respectively.

Table 1 and Table 2 below show an extract of key indicators from the aggregated statement of comprehensive income and a breakdown of gross premiums written by class of business respectively.

Table 1: Performance Indicators (\$'000)

Indicator	Half Year Ended 30 June 2012	Half Year Ended 30 June 2011	Percentage Change
Gross Premium Written	109,535	84,086	30.27%
Net Premium Written	58,319	42,069	38.63%
Net Earned Premium	48,938	38,711	26.42%
Net Claims Incurred	19,378	17,389	11.44%
Net Commission Incurred	1,837	2,346	-21.69%
Management Expenses	19,746	16,107	22.59%
Underwriting Profit	6,605	2,399	175.32%
Investment Income	1,390	2,143	-35.13%
Profit Before Tax	4,902	7,340	-33.21%

Table 2: Gross Premium Written by Class of Business

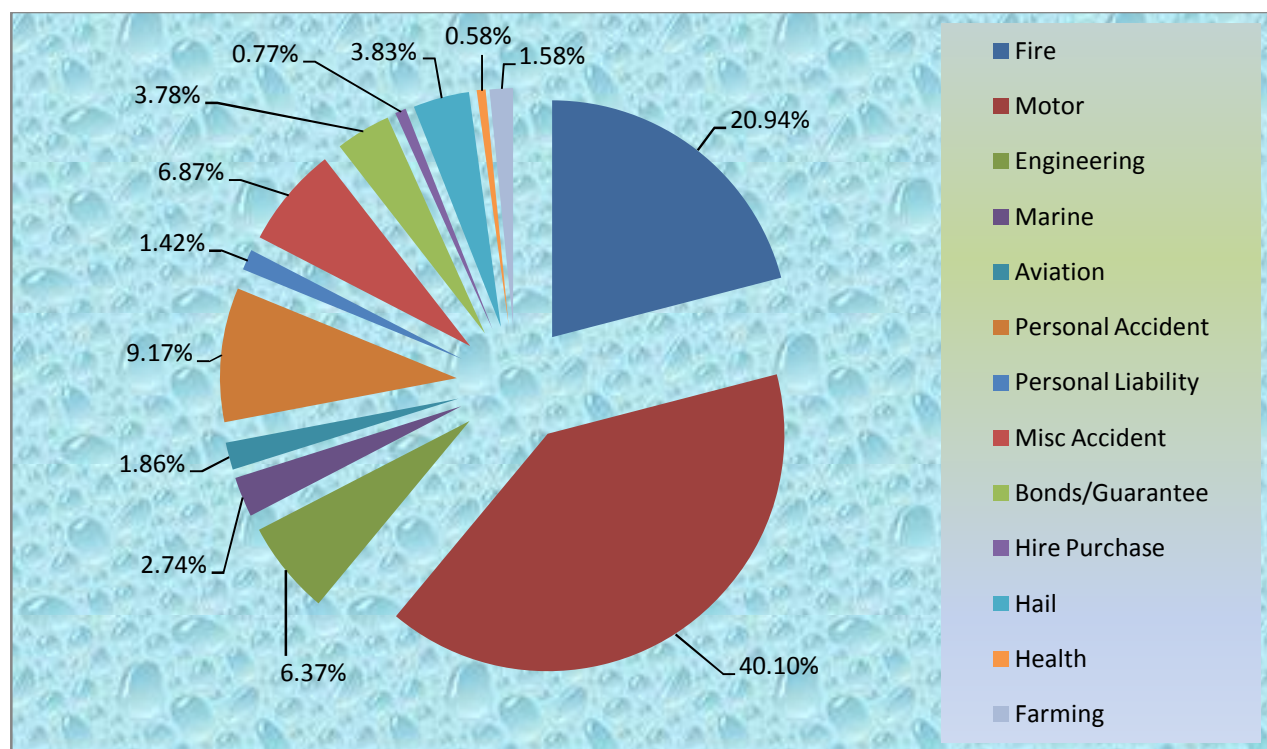
Contribution by Class	Half Year Ended 30 June 2012	Half Year Ended 30 June 2011	Percentage Change
Fire	22,931,823	21,847,147	4.96%
Motor	43,921,701	30,659,904	43.25%
Engineering	6,973,836	2,855,693	144.21%
Marine	3,002,011	2,578,348	16.43%
Aviation	2,042,637	852,227	139.68%
Personal Accident	10,043,166	6,775,959	48.22%
Personal Liability	1,552,313	1,071,408	44.89%
Miscellaneous Accident	7,524,187	5,361,833	40.33%
Bonds/Guarantee	4,135,528	3,855,297	7.27%
Hire Purchase	845,698	843,355	0.28%
Hail	4,198,705	4,186,824	0.28%
Health	631,424	8,632	7,214.92%
Farming	1,731,683	3,189,331	-45.70%
Total	109,534,712	84,085,958	30.27%

3.3. Distribution of Gross Premium Written by Business Class

There was no significant change in the distribution of business with motor and fire insurance remaining the major sources of business accounting for 40.1% and 20.94% of the total gross premium written during the half year period under review. Notwithstanding the fact that fire insurance continued to be one of the dominant classes of business, the proportion attributable to the same business class declined from 25.94% for the half year ended 30 June 2011 to 20.94% for the period under review. However, the decline may not be significant enough to enable the short term direct insurers to enjoy diversification benefits.

Motor and engineering insurance recorded increase of 3.7 and 2.98 percentage points, respectively, in their share of total gross premium written. This implies an increased dominance of business written by motor insurance. There is need for the industry to devise strategies to diversify their portfolio, to reduce the portion attributable to motor insurance which traditionally has frequent claims which may translate into high loss ratios. Figure 1 below shows the distribution of gross premium written by class of business for the half year ended 30 June 2012.

Figure 1: Distribution of Business by Gross Premium Written



3.4. Earnings

Notwithstanding the increase in the volume of business underwritten, short term direct insurers reported a decrease in total profit after tax from \$7.86 million for the half year ended 30 June 2011 to \$6.08 million for the half year period under review. (See Table 1 above for more information). The decrease in profit was mainly attributable to a decrease in unrealized profit from valuation of equities which amounted to \$2.92 million coupled with depressed investment income. Net commission incurred decreased by 21.69%, although the volume of business underwritten increased. The decrease was on the back of an increase in commission received by local insurers for the insurance business they facilitate for reinsurers.

Out of the twenty four (24) operational direct short term insurers, five reported losses during the period under review (See Appendix A). Such losses are impacting negatively on the capital positions of the said entities, especially in the absence of fresh capital injections.

The average combined ratio decreased from 92.5% for the half year ended 30 June 2011 to 83.7% for the period under review, reflecting an improvement in cost management. The direct short term insurers reported an average loss ratio of 39.6% for the half year ended 30 June 2012, down from 44.6% reported in the comparative period in 2011. The loss ratio compares favorably to an international benchmark of 60%.

Underwriting profits increased from \$3.82 million for the half year ended 30 June 2011 to \$6.60 million for the period under review. The increase is in line with the growth in business volumes highlighted in 3.2 above. The underwriting margin also improved from 7.5% for the half year ended 30 June 2011 to 16.3% for the period under review, reflecting an improvement in underwriting profitability. An analysis of the underwriting profit vis-à-vis the sector's profit after tax of \$6.08 million indicates that the sector is generating the bulk of its profits from its core business of underwriting.

The sector reported a decrease in the average return on equity from 17% for the half year ended 30 June 2011 to 14.5% for the for the period under review. The decrease in the average return on equity is attributable to subdued performance by the sector's investments. This comes to light given the deteriorated overall profitability vis-à-vis improved underwriting profitability. The

decrease in the return on equity adversely affects the ability of the direct short term insurers to organically grow their capital bases.

3.5. Capitalization

As at 30 June 2012, all operational short term direct insurers, except SFG Insurance Company reported capital levels which were compliant with the regulatory minimum requirement of \$300 000 stipulated in Statutory Instrument 183 of 2009 as shown in Table 3 below. The Commission has since engaged SFG Insurance Company with a view to having the institution come up with recapitalization initiatives to address its undercapitalization and the engagements are ongoing.

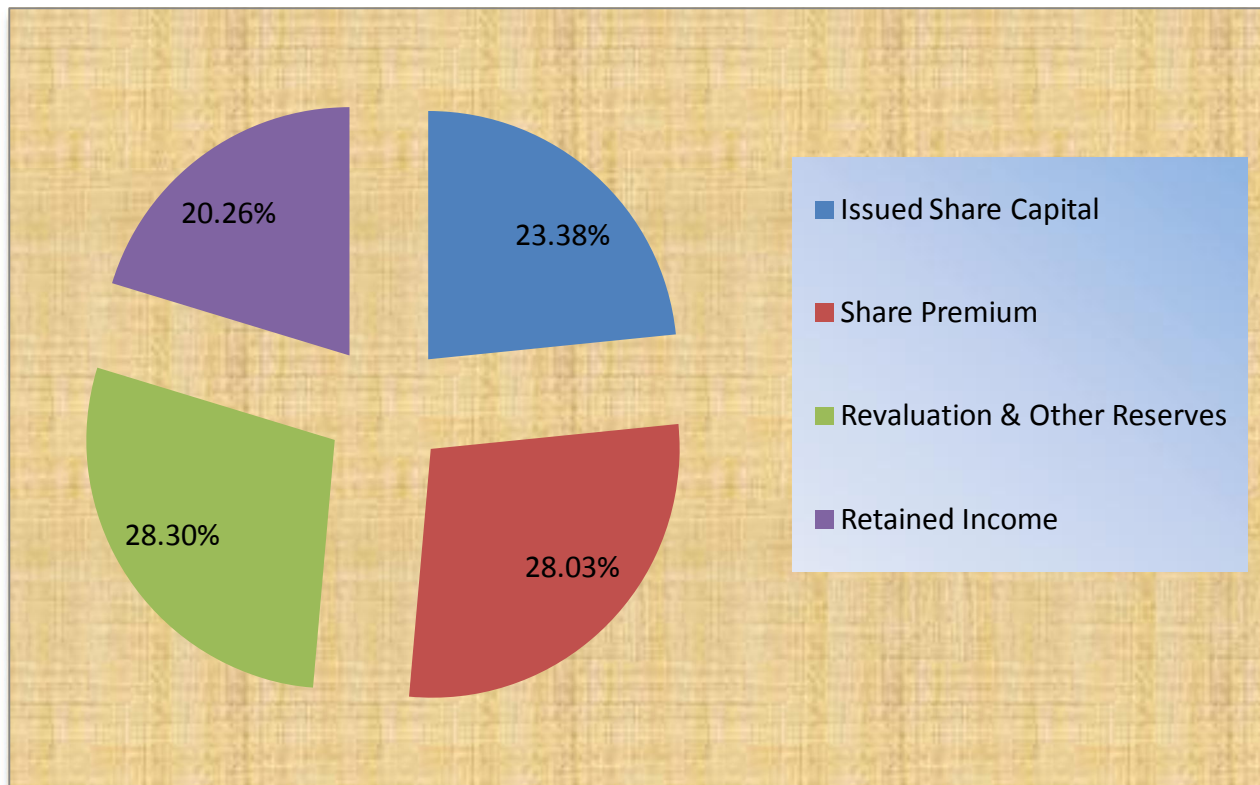
The median¹ shareholders' equity was \$1.12 million as at 30 June 2012. An analysis of the figures submitted indicate that some insurers did not submit figures relating to technical liabilities such as Incurred But Not Reported (IBNR) claims, outstanding claims, Unearned Premium Reserve (UPR) (see statements of financial position in Appendix B for names of the said insurers). This implies that the said insurers understated their liabilities thereby overstating their capital and profitability positions. Failure to provide for IBNR is in contravention of **section 25(2c)** of the **Insurance Act [Chapter 24:07]**, which stipulates that every registered insurer who carries on insurance business other than life insurance business is required to maintain unimpaired assets in respect of provision for net claims incurred, but not reported. Failure to quantify incurred but not reported claims results in insurers facing challenges in determining assets to set aside in respect of the same. All insurers are required to provide for all liabilities so that they do not overstate their capital positions.

The total capital base for direct short term insurers was skewed towards revaluation and other reserves which attributed for 28.3% of the same, followed by share premium which constituted 28.03%. Figure 2 below shows the breakdown of the capital base as at 30 June 2012. Revaluation reserves may not be stable especially when market conditions result in huge swings in market

¹ The **median** is the numerical value separating the higher half of a population from the lower half. The *median* of a finite list of numbers can be found by arranging all the observations from lowest value to highest value and picking the middle one. If there is an even number of observations, then there is no single middle value; the median is then usually defined to be the average of the two middle values.

values, and this may bring to question the permanence of that proportion of capital attributable to revaluation reserves. Insurers should rely more on other forms of shareholders' equity such as retained income and fresh injections, which are more permanent than revaluation reserves. The other portion of the capital base was made up of issued share capital and retained earnings.

Figure 2: Breakdown of the Total Capital Base



In a bid to strengthen the insurance industry the Commission will be announcing the revised minimum capital requirements and insurers are being implored to start making preparations to comply with the new minimum capital requirements. More so, given that the business volumes are on the upward trend, and from a risk based capital point of view, risk carried by the insurer should be linked to the insurer's capital base.

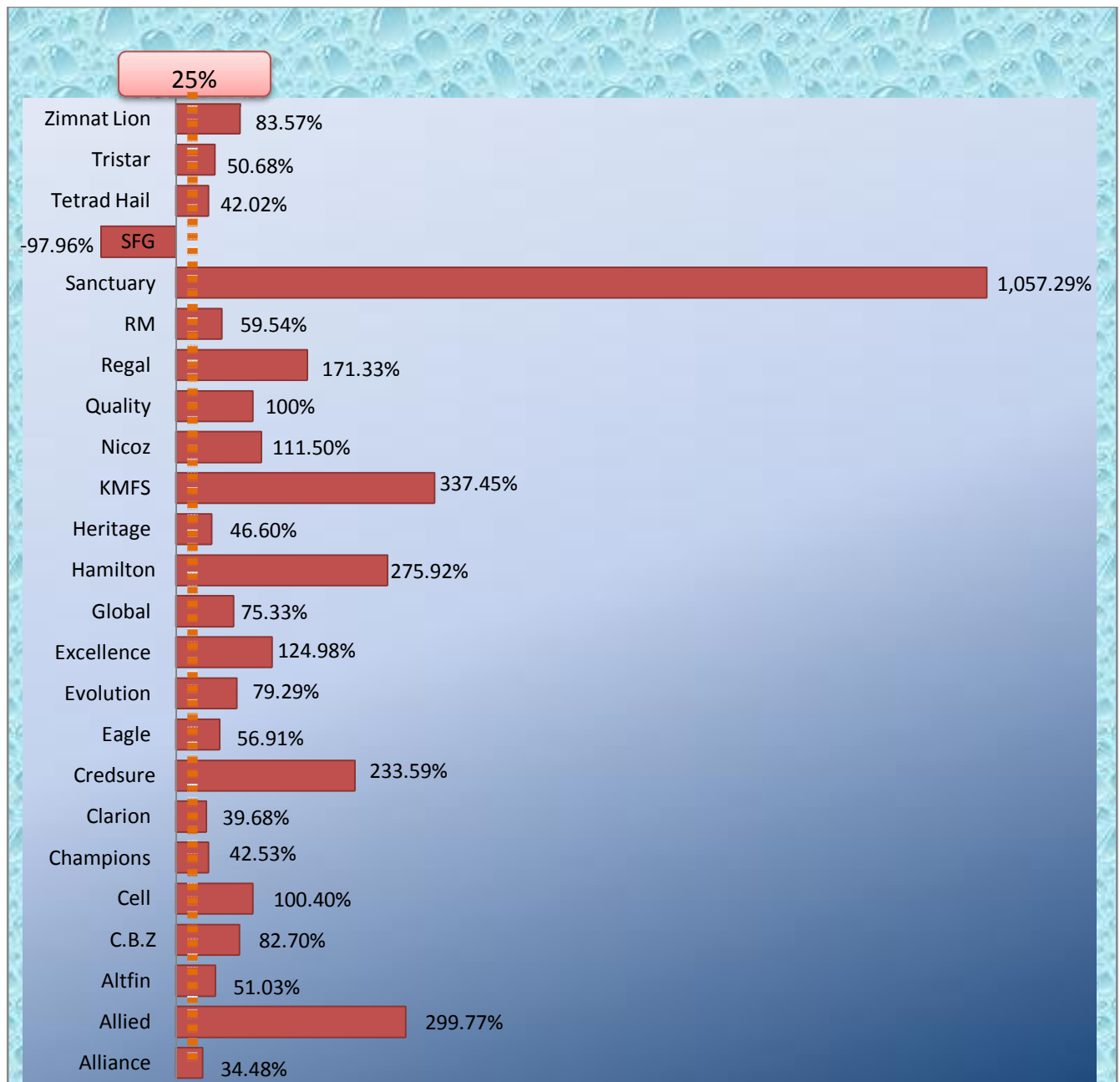
Table 3: Levels of Capitalization

Name of Insurance Company	Capital Position as at 30 June 2012
Alliance Insurance Company (Pvt) Ltd	\$2,700,520
Allied Insurance Company (Pvt) Ltd	\$725,825
Altfin Insurance Company Ltd	\$1,939,000
C.B.Z Insurance Company	\$1,101,235
Cell Insurance (Zimbabwe) Limited	\$4,573,653
Champions Insurance Company (Pvt) Ltd	\$664,942
Clarion Insurance Company	\$525,340
Credit Insurance Zimbabwe Ltd	\$2,763,108
Eagle Insurance Company Ltd	\$1,908,061
Evolution Insurance Company	\$876,114
Excellence Insurance Company	\$552,692
Global Insurance Company (Pvt) Ltd	\$507,120
Hamilton Insurance Company	\$915,479
Heritage Insurance Company of Zimbabwe (Pvt) Ltd	\$1,244,257
KMFS Insurance Company	\$1,143,986
Nicoz Diamond Insurance Company Ltd	\$8,016,000
Quality Insurance Company (Pvt) Ltd	\$546,000
Regal Insurance Company Limited	\$797,542
RM Insurance Company Limited	\$4,727,631
Sanctuary Insurance Company	\$855,435
SFG Insurance Company (Pvt) Ltd	(\$1,130,244)
Tetrad Hail Insurance Company (Pvt) Limited	\$1,761,400
Tristar Insurance Company Limited	\$1,260,146
Zimnat Lion Insurance Company Ltd	\$2,942,275

As at 30 June 2012 all operational direct short term insurers, except for SFG Insurance Company

reported solvency ratios which were above the minimum regulatory requirement of 25%. The short term insurance sector reported an average solvency ratio of 83.57% as at 30 June 2012, compared with 123.21% reported as at 31 March 2012. Figure 2 below shows the solvency ratios for all the direct short term insurers as at 30 June 2012. Sanctuary Insurance Company reported a solvency ratio of 1,057.29% which implies that the same insurer may be underutilizing its capital.

Figure 3: Solvency Ratios

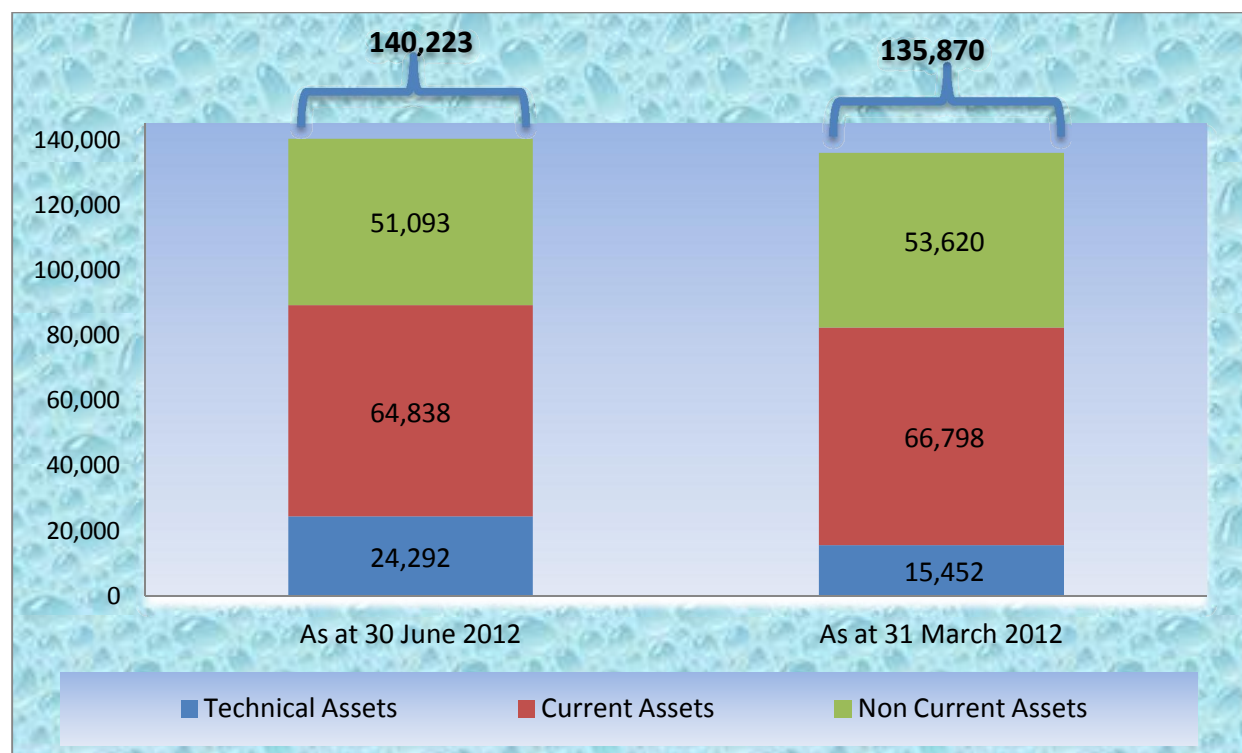


3.6. Asset Quality

Total assets for operational short term insurers amounted to \$140.22 million as at 30 June 2012, reflecting a 3.2% increase from \$135.87 million reported as at 31 March 2012. The increase in the total assets was mainly attributable to growth in technical assets, in particular reinsurers' share of outstanding claims which increased from \$7.84 million as at 31 March 2011 to \$417.21 million as at 30 June 2012.

The asset base continued to be skewed towards current assets which amounted to \$64.84 million, contributing 46.24% of total asset base. The skewness of the direct short insurers' asset base towards current assets is in tandem with the short term insurance business. The Commission has, however, noted with concern that 63.75% of the sector's current assets is attributable to premium receivables whose liquidity may not be in line with the short term nature of the non-life insurers' business. The marginal decrease in cash and cash equivalents from \$14.21 million as at 31 March 2012 to \$14.03 million as at 30 June 2012 increases the Commission's concerns. Figure 3 below shows the composition of the total assets for direct short-term insurers as at 30 June 2012 and 31 March 2012.

Figure 4: Assets Composition of Short-Term Insurers (\$ 000)



3.7. Market Share for Short-Term Insurers

The direct short term insurers' sector remained unconcentrated during the period under review as indicated by the Herfindahl Indices² of 0.08 in terms of both gross premium written and net premium written. The situation whereby the market is unconcentrated is healthy for competition in the sector since there are no clear-cut insurers who control the market. This may translate into improved service to policyholders.

Notwithstanding the structure of the market highlighted above, Cell Insurance Company, Alliance Insurance Company, and Nicoz Diamond Insurance Company remained the top three insurers in terms of gross premium written with market shares of 13.36%, 12.23% and 11.64% respectively. In terms of net premium written the market leaders were RM Insurance Company, Alliance Insurance Company, and Nicoz Diamond Insurance Company with market shares of 13.61%, 13.43% and 12.33% respectively.

The market shares highlighted above imply that Cell Insurance Company is retaining a smaller percentage of its gross premium written compared to the other market leaders. On the other hand RM Insurance Company is retaining a larger proportion of its gross premium written compared to the other market leaders. Given that RM Insurance Company is ranked fourth in terms of total assets it is sweating its capital more than the other market leaders.

Nicoz Diamond Insurance Company, Alliance Insurance Company and Zimnat Lion Insurance Company recorded the highest market shares of 12.81%, 10.57% and 10.14% respectively in terms of total assets. Figure 4 and 5 below show the market shares in terms of GPW and NPW for the period under review and total assets as at 30 June 2012 respectively.

² The Herfindahl Index is the sum of squared market shares of firms in an industry. An index below 0.1 indicates an unconcentrated industry, an index of 0.1 to 0.18 indicates moderate concentration and an index above 0.18 indicates high concentration.

Figure 5: Market share using GPW and NPW

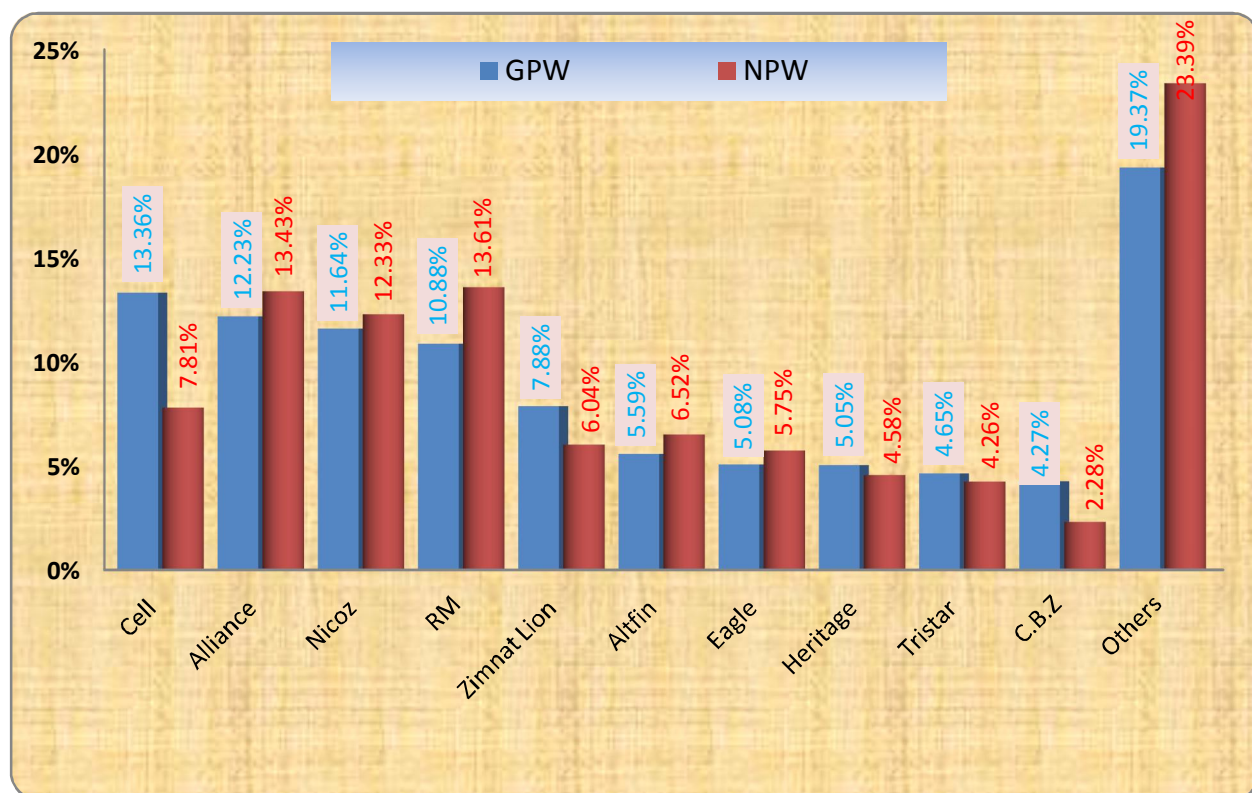
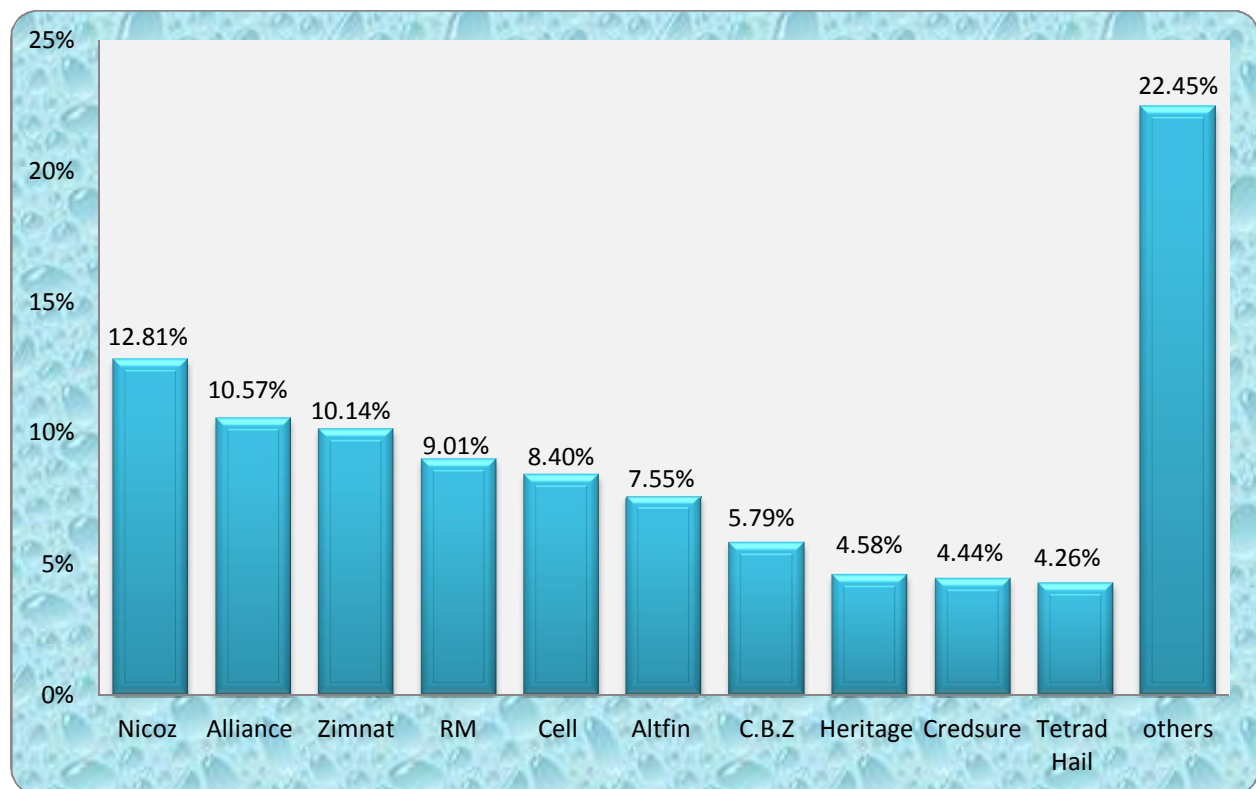


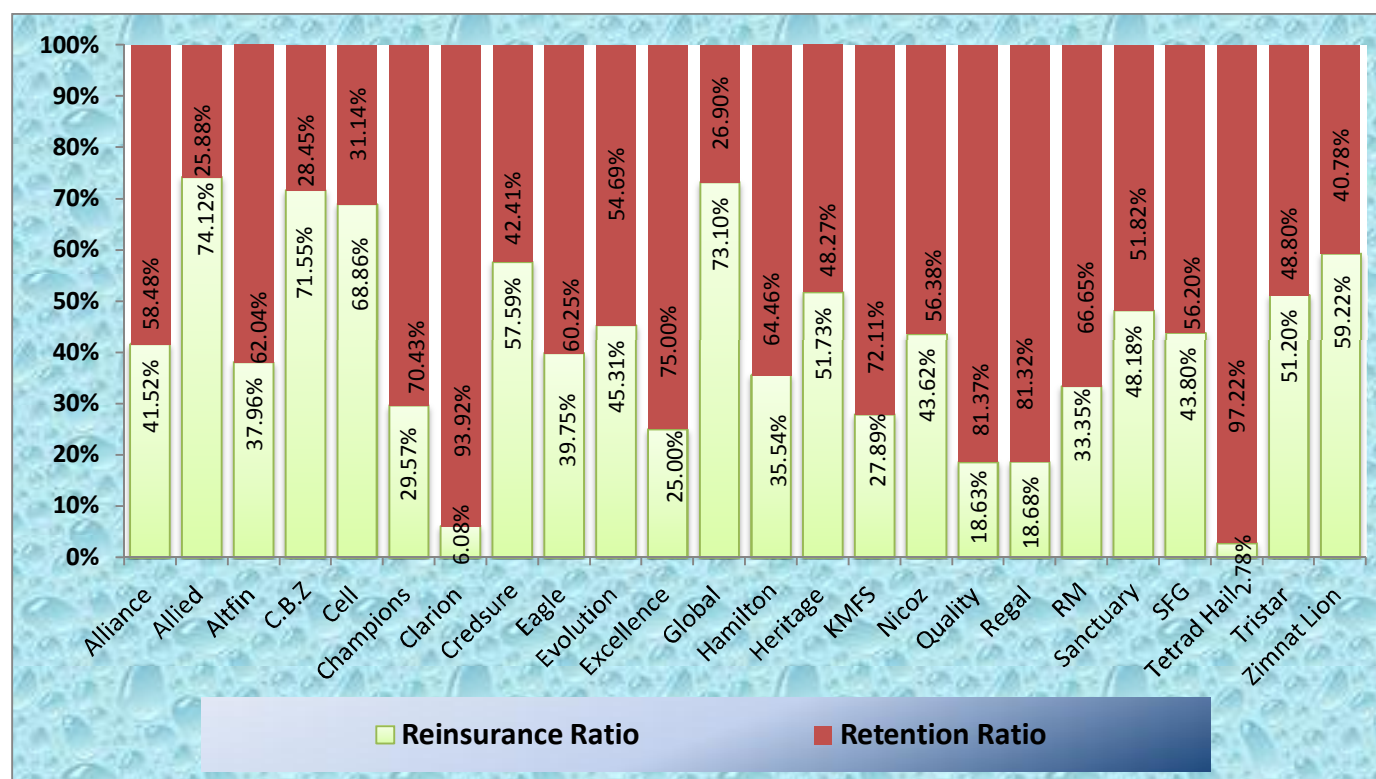
Figure 6: Market Share In Terms of Asset Base



3.8. Reinsurance

The short term insurers' average premium retention ratio decreased by 3.27 percentage points from 50.03% reported for half year ended 30 June 2011 to 46.76% for the period under review. The decrease in the average retention ratio reflects a decrease in the risk appetite and hence a lower exposure to inherent underwriting risk. Tetrad Hail Insurance Company, Clarion Insurance Company and Quality Insurance Company retained the highest proportion of the business they wrote with retention ratios of 97.22%, 93.92%, and 81.37% respectively as shown in Figure 7 below. Relative to other insurers these insurers maybe be overstretching their statements of financial position. This is evidenced in the case of Tetrad Hail Insurance Company and Clarion Insurance Company which reported comparatively low solvency ratios of 42% and 40% respectively as shown in Figure 3 in section 3.5 above.

Figure 7: Reinsurance/Retention for Short Term Companies



Hail insurance, higher purchase and motor insurance recorded the highest retention ratios of 99.86%, 82.68% and 75.23% as shown in Figure 8 below. However, hail and hire purchase insurance contributed a relatively negligible proportion of business written, totaling 4.61% as shown in section 3.3 of this report. Although the proportion attributable to the above

mentioned business classes is low, the Commission has noted instances where some insurers' viability has been significantly threatened by losses from hail, hence the need to put in place adequate reinsurance arrangements in all business classes.

In view of the fact that motor insurance is one of the major sources of business as shown in section 3.3 above, high retention ratio in the same business class may increase exposure to inherent underwriting risk. This is also in light of the high frequency of claims in the motor insurance class of business. In view of the high retention levels and high frequency of claims in the motor insurance business alluded to above, the Commission continues to implore insurers to desist from undercutting and charge economic rates to build sufficient pools of premium which will enable insurers to meet claims as they fall due.

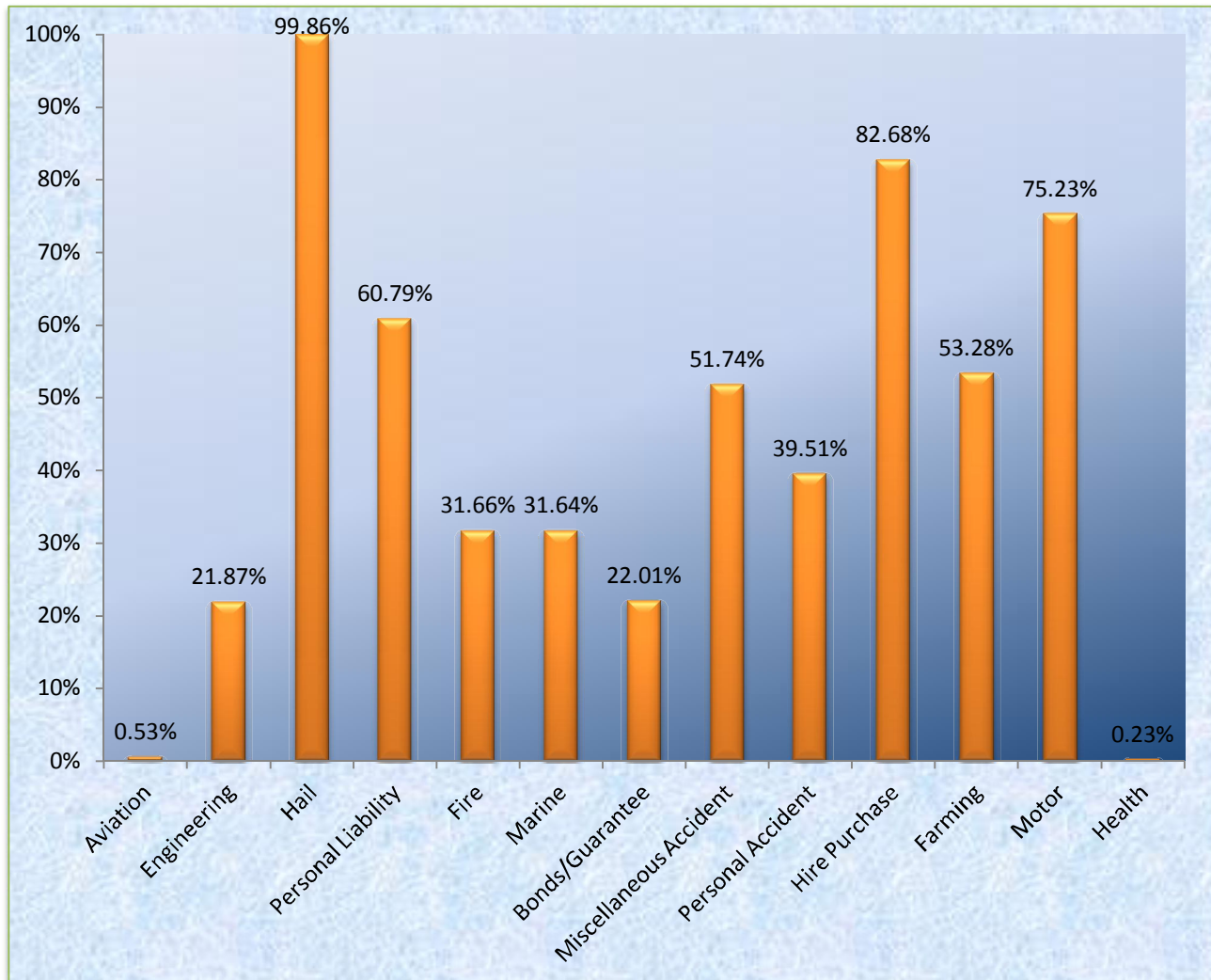
In a related matter, the Commission has noted with concern poor underwriting standards in the credit guarantees insurance, wherein insurers are not registering any bonds in respect of the assets from their policyholders. This is further worsened by low or, in some cases, no reinsurance at all on the guarantees. Claims emanating from these credit guarantees have threatened the survival of some insurers. Against this background, we encourage insurers to adopt sound underwriting standards especially in credit guarantees.

The Commission has also witnessed an increase in the number of complaints with respect to tobacco insurance. This could be a red flag signaling the prevalence of poor underwriting standards or inadequate consumer education in tobacco insurance. In light of the above, IPEC urges all players involved in tobacco insurance to have a review their conduct of business in that business class so as to achieve customer satisfaction, and hence confidence in the insurance industry at large.

Health and aviation insurance recorded the lowest retention ratios of 0.23% and 0.53% respectively. The low risk retention ratio reported in aviation insurance maybe explained by the local insurers' limited capacity to meet claims emanating from the business class given the high values of sum insured involved. Low levels of retention in health insurance maybe explained by limited expertise in that class of business since much of the business in that class is underwritten by medical aid societies. The low retention levels in health insurance can also be explained by

the voluntary surrender of licence by Suremed Insurance Company, which was specializing in health insurance. The Commission encourages insurers to increase the underwriting capacities through injecting more capital and expertise in order to increase the retention in aviation class.

Figure 8: Retention by Class



SECTION B

4. Reinsurance Companies

4.1. Update on Number of Operational Institutions

The number of registered short term reinsurers as at 30 June 2012 was ten (10), the same number reported as at 31 March 2012. Out of these registered reinsurers nine (9) were operational. Horizon Reinsurance Company is yet to commence operations.

4.2. Business Written

Gross premium written amounted to \$52.37 million for the six months ended 30 June 2012, reflecting a 38.75% increase from \$37.75 million that was reported for the six months ended 30 June 2011 (See table 4 below). The growth in the total gross premium was largely driven by increases in business generated from fire and farming insurance. Gross premium written from fire and farming insurance increased by \$3.96 million and 3.79 million from \$16.84 million and \$6.38 million respectively recorded for the six months ended 30 June 2011.

Table 4: Key Performance Indicators (\$ 000)

Indicator	Half Year Ended 30 June 2012	Half Year Ended 30 June 2011	Percentage Change
Gross Premium Written	52,374	37,746	38.75%
Net Premium Written	38,864	24,993	55.50%
Net Earned Premium	32,342	20,369	58.78%
Net Claims Incurred	14,082	5,998	134.78%
Net Commission Incurred	10,458	5,774	81.12%
Management Expenses	10,911	6,177	76.64%
Underwriting Profit	(2,208)	3,053	-172.33%
Investment Income	897	743	20.78%
Profit Before Tax	(1,632)	5,296	-130.82%
Profit After Tax	(1,716)	4,626	-137.09%

Hail and farming insurance recorded the highest GPW growth rates of 2,082.42% and 145.96% respectively from the GPW figures recorded for the half year ended 30 June 2011 as shown in table 5 below. Since the Zimbabwean economy is mainly based on the agricultural sector, the increased use of the insurance services by the same sector is commendable since it complements the

government's initiatives to boost agriculture. Notwithstanding the increase in total gross premium written, GPW attributable to bonds/guarantees and health insurance decreased from \$0.5 million and \$0.6 million reported for the half year ended 30 June 2011, to \$0.26 million and \$0.36 million for the period under review respectively.

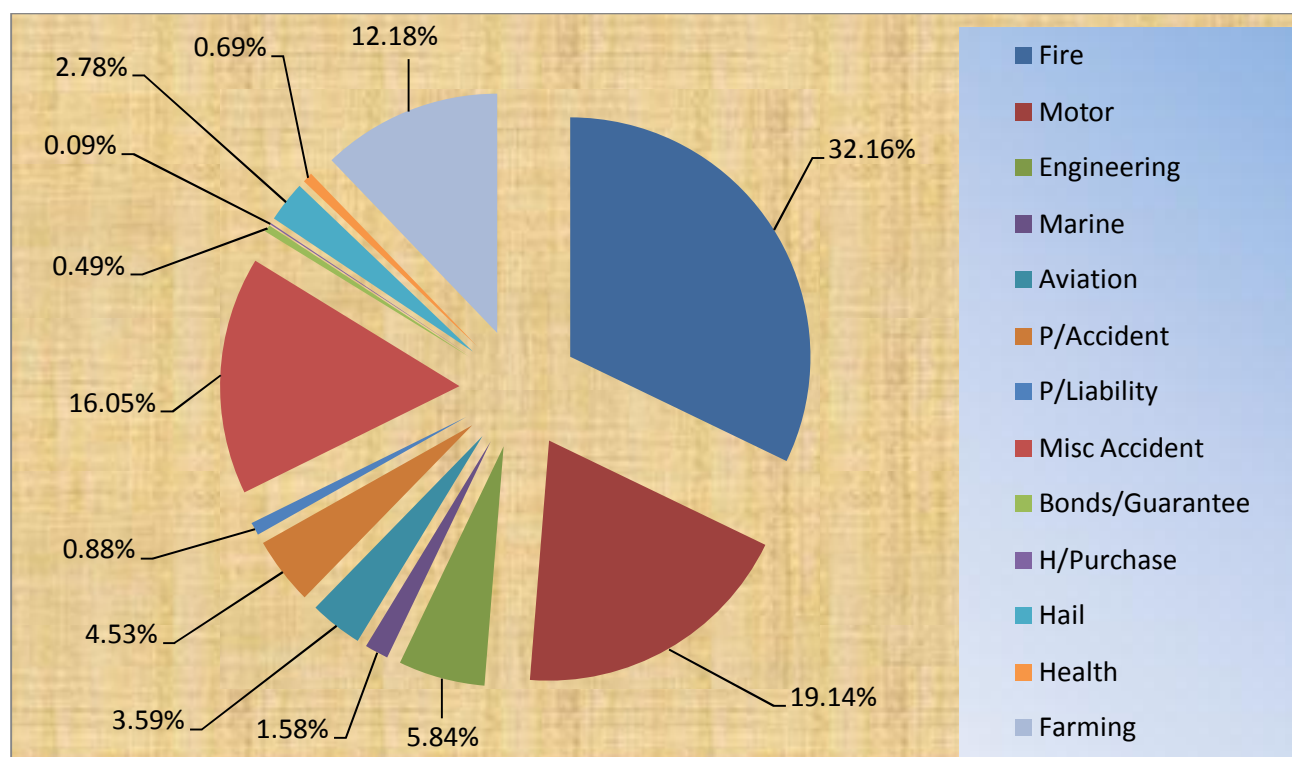
Table 5: Gross Written Premiums by Class of Business

Class	Half Year Ended 30 June 2012	Half Year Ended 30 June 2011	Percentage Change
Fire	16,844,916	12,887,874	30.70%
Motor	10,025,400	7,541,459	32.94%
Engineering	3,059,225	2,004,772	52.60%
Marine	825,246	926,643	-10.94%
Aviation	1,880,514	1,825,127	3.03%
Personal Accident	2,371,153	1,068,930	121.82%
Personal Liability	462,646	248,362	86.28%
Miscellaneous Accident	8,404,616	7,457,275	12.70%
Bonds/Guarantee	259,021	498,396	-48.03%
Hire Purchase	46,453	26,342	76.35%
Hail	1,453,710	66,610	2082.42%
Health	362,520	600,160	-39.60%
Farming	6,378,723	2,593,363	145.96%
Total	52,374,143	37,745,313.00	38.76%

4.3. Distribution of Gross Premium Written by Business Class

There was no significant change in the skewness of business written as fire, motor and miscellaneous accident insurance remained the dominant sources of business written as shown in Figure 9 below. Although fire and motor insurance remained the major sources of business, the proportion attributable to the two business classes decreased from 56% for the half year ended 30 June 2011 to 51.3% for the period under review. The growth in business underwritten from farming resulted in farming insurance contributing 12.18% of GPW.

Figure 9: Distribution of Business



4.4. Earnings

Although the volume of business generated increased as highlighted above, the short term reinsurers reported a 137.09% decrease in profit after tax from \$4.63 million for the six months ended 30 June 2011 to negative \$1.72 million for the six months ended 30 June 2012. The increase in losses is mainly attributable to increase in claims incurred, management expenses and unrealized losses from valuation of equities. Claims incurred increased by \$8.08 million while management expenses increased by \$4.73 million which translated to changes of 134.78% and 76.63% changes respectively. Unrealised income from marking to market of equity portfolios decreased by 133.09% from \$1.28 million for the half year ended 30 June 2011 to negative \$0.42 million for the period under review. The increases in claims and expenses coupled with the decline in income from the marking to market of equities outweighed the increase in the volume of business retained by the reinsurers and hence the reported losses.

Although the overall position indicates that the reinsurers reported losses, seven of the operational reinsurers made profits. Baobab Reinsurance Company and PTA Reinsurance Company (Zep Re)

incurred losses amounting to \$3.10 million and \$0.73 million respectively for the half year ended 30 June 2012.

The short term reinsurers recorded an average combined ratio of 109.6% for the six months ended 30 June 2012, compared with 89.7% recorded in the comparative period in 2011, reflecting deterioration in profitability. The loss ratio increased from 29.96% percent for the half year ended 30 June 2011 to 43.54% for the period under review which is below the international benchmark of 60%. In line with the deteriorating loss ratio, the total underwriting profits for the reinsurers decreased from \$2.70 million for the half year ended 30 June 2011 to negative \$2.21 million for the half year under review. This may imply the decline in the quality of business written. The average underwriting margin for the reinsurers decreased from 10.33% for the half year period ended 30 June 2011 to negative 9.61% for the period under review further confirming the deterioration in profitability from core business.

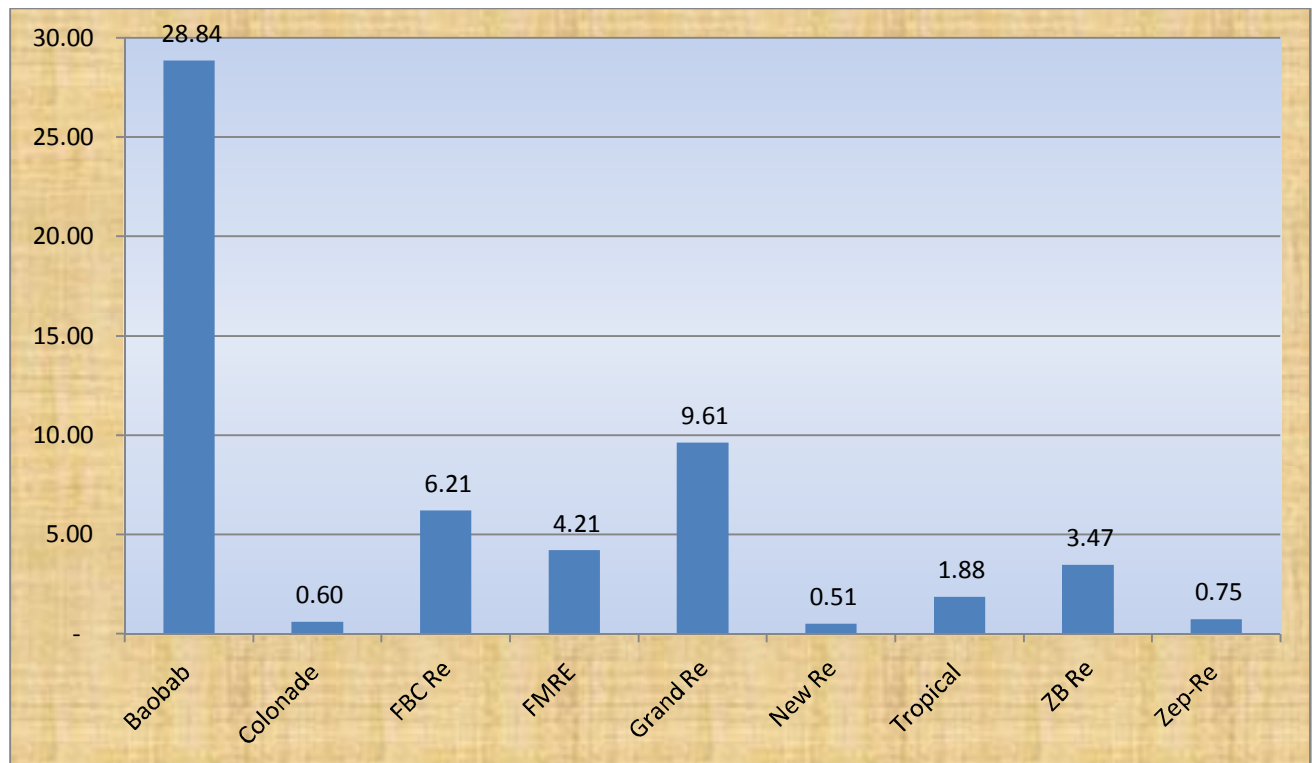
4.5. Capitalization

As at 30 June 2012, all short term reinsurers, were compliant with the minimum capital requirement of \$400 000 stipulated in Statutory Instrument 183 of 2009 as shown in Figure 10 below.

The median capital level was \$3.47 million reflecting that the bulk of the short term reinsurers had capital levels significantly above the regulatory minimum, and therefore well placed to comply with revised capital requirements which the Commission will be implementing in the near future. As is the case with some direct short term insurers, the Commission has noted with concern that there are some reinsurers who did not provide for technical reserves, such as unearned premium reserve (UPR) and incurred but not reported claims (IBNR), thereby understating their liabilities (see Appendix D for more details). This results in the same reinsurers overstating their capital positions.

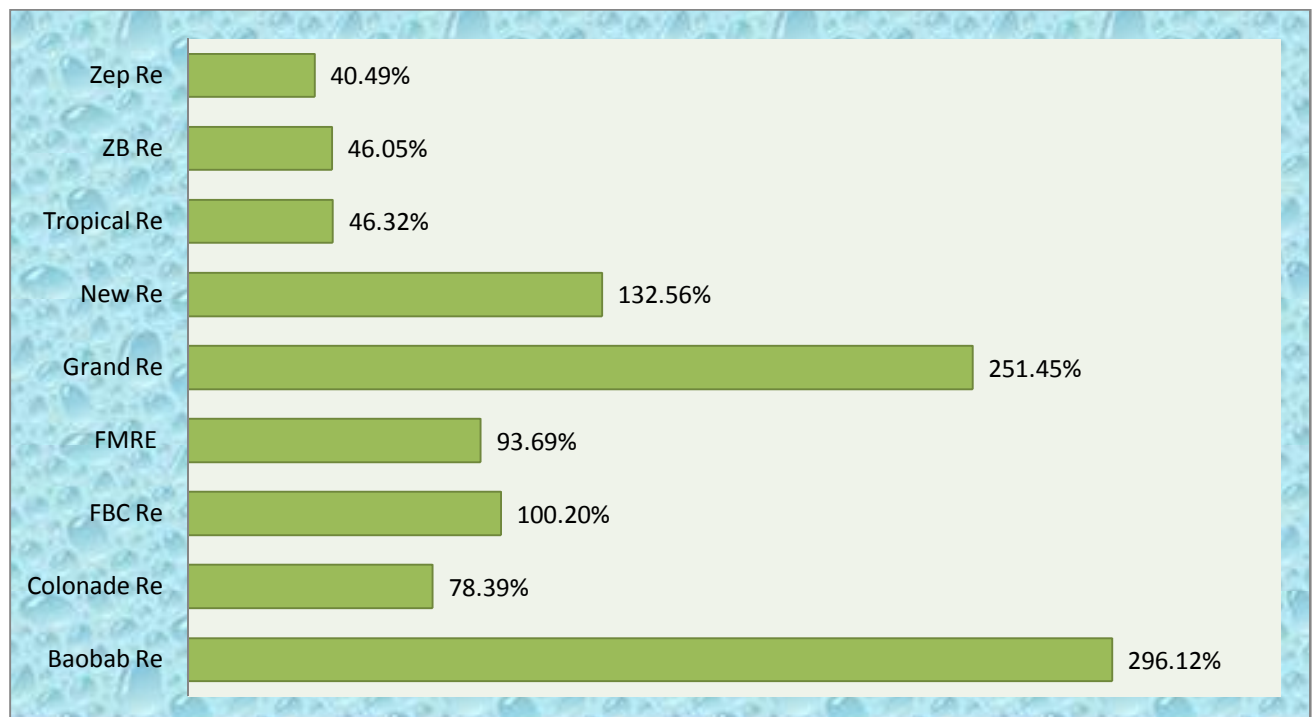
All reinsurers reported solvency ratios which were compliant with the prudential minimum of 25% as shown in figure 11 below. The average solvency ratio for the short term reinsurers was 142.43% which is significantly above the internationally accepted threshold of 40%.

Figure 10: Shareholders Equity (\$ million)



Note: The local operations of ZEP Re are also supported by the institution's overall statement of financial position which had an asset base of \$130 million as at 30 June 2012.

Figure 11: Solvency Ratios



4.6. Asset Quality

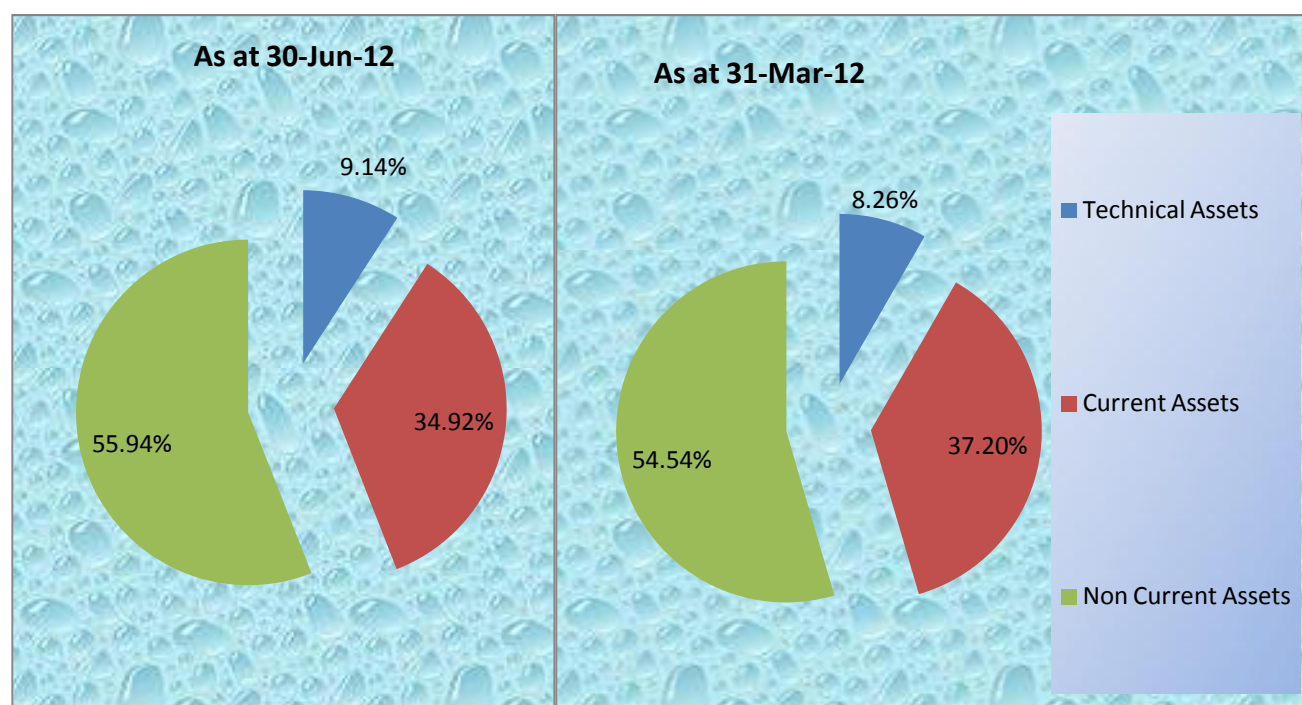
The asset base for reinsurers amounted to \$104.37 million as at 30 June 2012, reflecting a 2.45% growth from, \$101.87 million reported as at 31 March 2012. The increase in assets was mainly driven by an increase in investments from \$52.54 million as at 31 March 2012 to \$54.81 million as at 30 June 2012. The table below shows the breakdown total assets.

Table 6: Breakdown of Total Assets (000)

Component	30 June 2012	31 March 2012
Technical Assets	9,542	8,411
Current Assets	36,441	37,900
Non-Current Assets	58,384	55,560
Total Assets	104,368	101,871

As shown in the diagram below there was a marginal shift in the skewness of total assets towards non-current assets with the proportion attributable to current assets decreasing from 37.20% as at 31 March 2012 to 34.92% as at 30 June 2012. The shift towards non-current assets, though not significant, is not in tandem with the short term nature of non-life reinsurers' business.

Figure 12: Composition of Total Assets for Reinsurers



4.7. Market Share for Reinsurers

The short term reinsurers' market was considered moderately concentrated during the period under review with Herfindahl indices of 0.16 in terms of both GPW and NPW. However, in terms of the balance sheet sizes the industry was considered highly concentrated with a Herfindahl index of 0.25. As shown in figure 13 below, Baobab Reinsurance Company, FMRE Property and Casualty Reinsurance Company, and ZB Reinsurance Company remained the top three short term reinsurers with market shares of 21.15%, 19.8% and 17.6% in terms of gross premium written. The market share in terms of gross premium written controlled by the top three reinsurers, declined from 66.8% for the half year ended 30 June 2011, to 58.5% during the period under review. In terms of net premium written Baobab Reinsurance Company was the market leader with a market share of 25.06% followed by ZB Reinsurance Company and FBC Reinsurance Company with market shares of 19.4% and 15.96% respectively.

Baobab Reinsurance Company, FBC Reinsurance Company and Grand Reinsurance Company were the market leaders in terms of total assets with a combined market share of 72.46%. Figure 13 and 14 below shows the market shares of each reinsurer.

Figure 13: Market Share by GPW/NPW

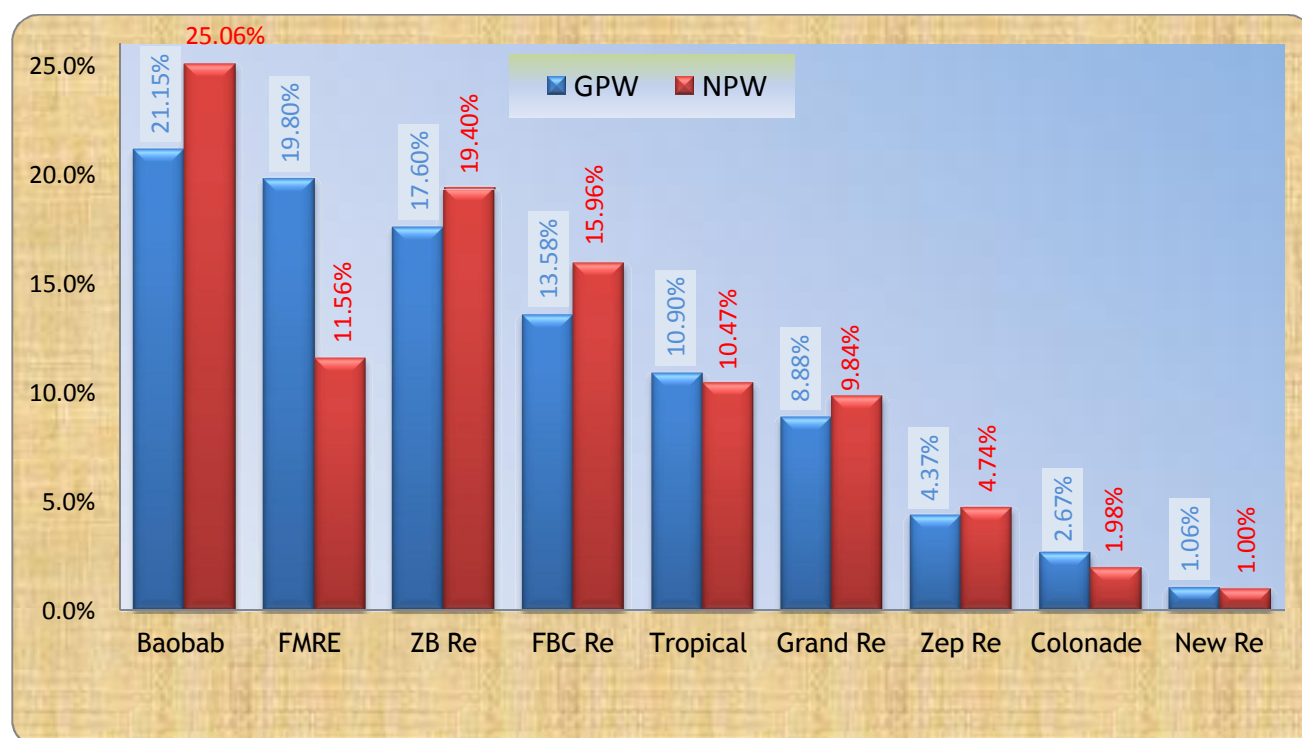
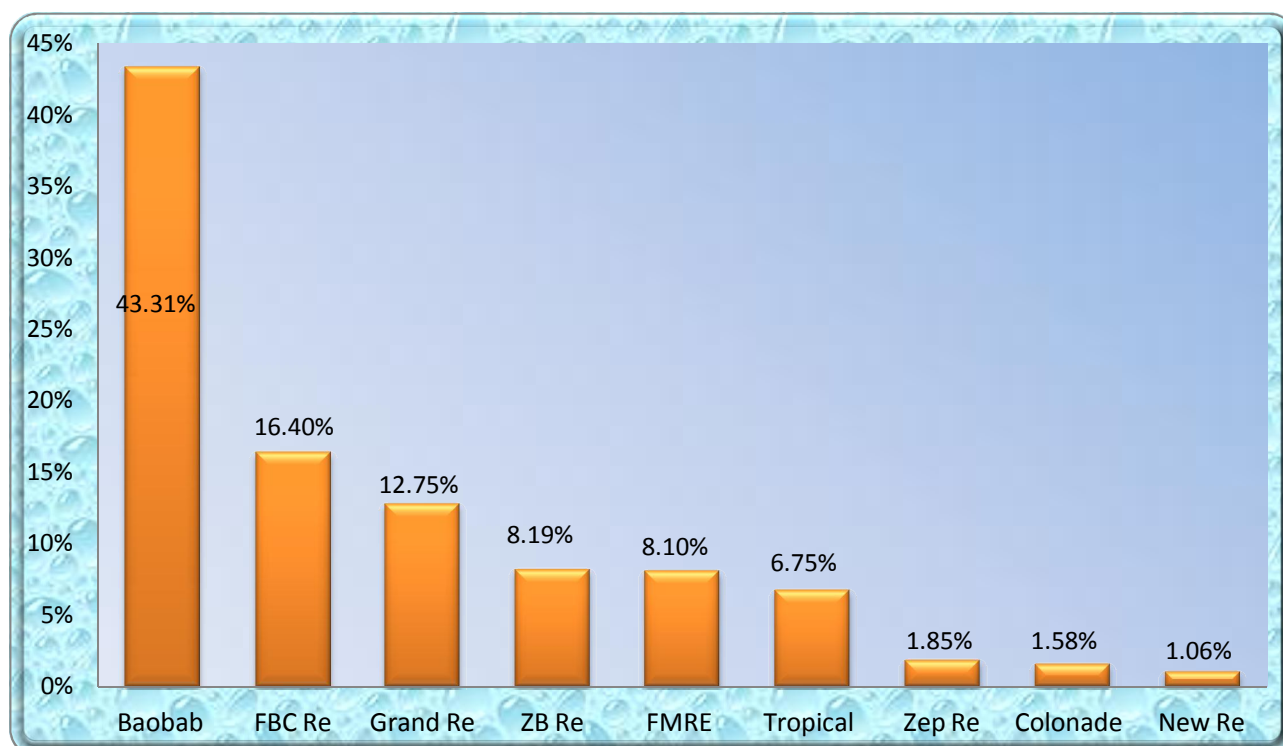


Figure 14: Market Share by Asset Distribution



4.8. Retrocession

The average retention ratio for short term reinsurers was 70.11% for the period under review, up from 64.04% reported in the comparative period in 2011, reflecting an increase in the risk appetite. In line with their relatively stronger balance sheets as indicated in the market share of assets in figure 14 above, Baobab Reinsurance Company and FBC Reinsurance Company reported the highest retention levels of 87.95% and 87.20% respectively. The risk retention ratios for each reinsurer are as shown in the Figure 14 below.

The highest levels of risk retention were reported in hire purchase and hail insurance as shown in Figure 16 below. The volume of business, in terms of gross premium written, generated from these two classes of business contributed a negligible proportion of 3%. As a result reinsurers are less likely to rely on retrocessionaires' balance sheets to meet claims emanating from these business classes. Aviation recorded the lowest retention ratio of 6.85% due to the high values of sum insured in the business class which may also imply large claims in the event of losses. The reinsurers' balance sheets are not large enough to meet such claims and hence the low retention ratio.

Figure 15: Retention/Retrocession

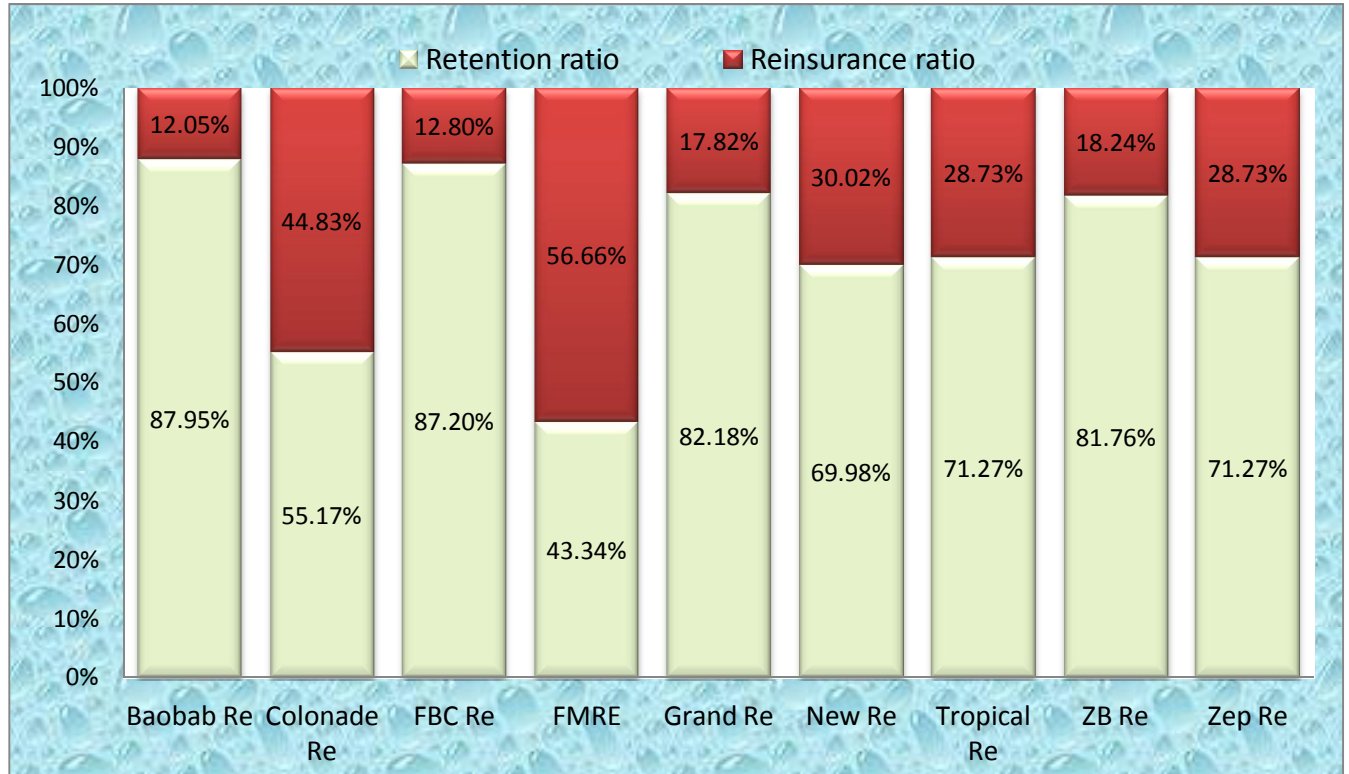
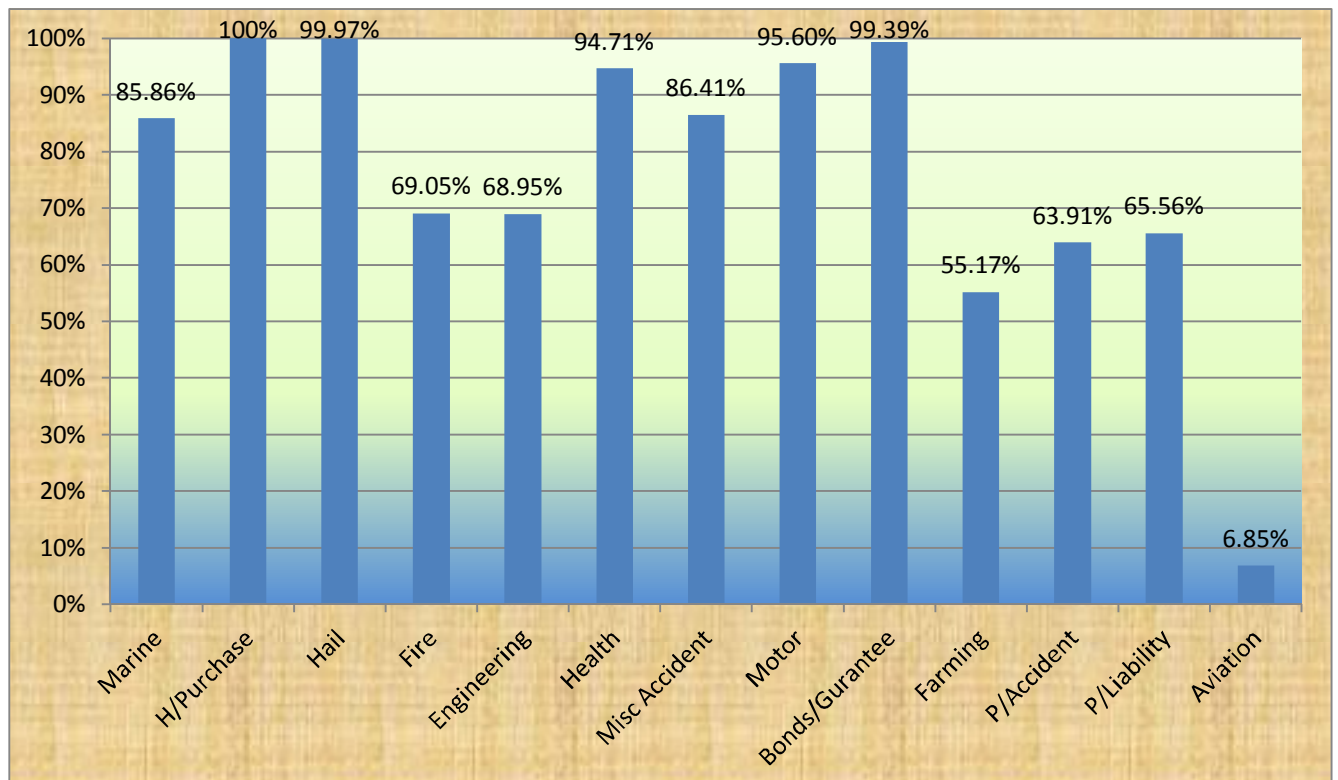


Figure 16: Retention by Class of Business



SECTION C

5. INSURANCE BROKERS

The commission held a workshop with insurance brokers, on 31 July 2012 wherein the brokers were taken through the return so that all brokers can have a common understanding on the same return in a bid to enable comparability of the figures that brokers will provide. This follows inconsistencies of the data that insurance brokers were providing on the return. Against that background, all Insurance Brokers are required to start submitting the completed brokers' return with effect from the quarter ending 30 September 2012.

SECTION D

6. APPENDICES

	Appendix A: Statement of Comprehensive Income for Direct Short Term Insurers US\$('000)																								
	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Quality	Regal	RM	Sanctuary	SFG	Tetrad Hail	Tristar	Zimnat	TOTAL
GPW	13,391	936	6,125	4,681	14,631	2,220	1,410	2,789	5,565	2,021	590	2,502	515	5,531	470	12,752	671	572	11,913	156	2,053	4,312	5,095	8,634	109,535
Reinsurance	5,560	693	2,325	3,349	10,076	656	86	1,606	2,212	916	147	1,829	183	2,861	131	5,563	125	107	3,973	75	899	120	2,609	5,113	51,216
NWP	7,831	242	3,800	1,332	4,555	1,563	1,324	1,183	3,353	1,105	442	673	332	2,670	339	7,189	546	466	7,940	81	1,154	4,192	2,486	3,521	58,319
NEP	7,111	426	3,537	1,151	2,877	1,312	1,042	822	2,722	955	452	555	188	2,147	339	6,059	522	429	6,376	87	983	4,192	1,926	2,727	48,938
Net Incurred Claims	4,878	95	1,479	630	1,064	4	297	171	(1,252)	491	40	256	67	925	157	2,876	172	15	3,042	9	1,796	687	539	941	19,378
Net Commission Incurred	1,004	(8)	177	(322)	(316)	148	57	(196)	(218)	101	66	23	29	32	9	738	97	0	855	14	41	(540)	121	(74)	1,837
Technical Result	1,373	195	1,883	979	2,128	1,324	689	884	1,252	364	344	289	78	1,294	397	2,671	253	414	2,791	132	(845)	4,338	1,266	1,860	26,351
Operating Expenses	1,466	105	1,335	748	1,190	1,181	615	718	997	164	126	271	154	1,035	374	2,436	279	562	2,112	76	775	590	1,240	1,198	19,746
Underwriting Result	(93)	90	548	231	938	142	74	166	254	200	219	18	(76)	259	23	235	(26)	(148)	680	56	(1,620)	3,748	26	662	6,605
Investment Income	136	1	10	66	100	16	0	34	7	12	0	29	0	79	20	246	17	0	177	50	0	231	76	83	1,390
Unrealised Gains/Losses	(1)	0	(19)	(29)	(36)	0	0	0	1	15	0	(1)	(425)	6	0	(172)	(27)	0	(83)	0	5	0	(489)	0	(1,255)
Other Income	39	0	0	0	132	170	62	0	40	0	0	0	0	25	0	0	0	0	(30)	0	12	0	45	76	570
Profit Before Tax	81	91	539	260	1,133	328	136	200	302	226	219	47	(501)	344	43	461	(36)	(147)	744	106	(1,623)	3,979	(341)	821	7,411
Key Ratios																									
Market Share % on GWP	12.2%	0.9%	5.6%	4.3%	13.4%	2.0%	1.3%	2.5%	5.1%	1.8%	0.5%	2.3%	0.5%	5.0%	0.4%	11.6%	0.6%	0.5%	10.9%	0.1%	1.9%	3.9%	4.7%	7.9%	100.0%
Market Share % on NWP	13.4%	0.4%	6.5%	2.3%	7.8%	2.7%	2.3%	2.0%	5.7%	1.9%	0.8%	1.2%	0.6%	4.6%	0.6%	12.3%	0.9%	0.8%	13.6%	0.1%	2.0%	7.2%	4.3%	6.0%	100.0%
Retention Ratio	58.5%	25.9%	62.0%	28.4%	31.1%	70.4%	93.9%	42.4%	60.2%	54.7%	75.0%	26.9%	64.5%	48.3%	72.1%	56.4%	81.4%	81.3%	66.6%	51.8%	56.2%	97.2%	48.8%	40.8%	53.2%
NEP/ NWP	90.8%	175.8%	93.1%	86.5%	63.1%	84.0%	78.7%	69.5%	81.2%	86.5%	102.2%	82.4%	56.6%	80.4%	100.0%	84.3%	95.6%	92.3%	80.3%	107.6%	85.2%	100.0%	77.5%	77.5%	83.9%
Net Claims Incurred Ratio	68.6%	22.3%	41.8%	54.7%	37.0%	0.3%	28.5%	20.8%	-46.0%	51.4%	8.8%	46.2%	35.4%	43.1%	46.4%	47.5%	33.0%	3.5%	47.7%	10.0%	182.7%	16.4%	28.0%	34.5%	39.6%
Net Commission Ratio	14.1%	-2.0%	5.0%	-28.0%	-11.0%	11.3%	5.5%	-23.8%	-8.0%	10.5%	14.5%	4.1%	15.3%	1.5%	2.6%	12.2%	18.6%	0.0%	13.4%	16.0%	4.2%	-12.9%	6.3%	-2.7%	3.8%
Net Expense Ratio	20.6%	24.7%	37.7%	65.0%	41.4%	90.0%	59.0%	87.3%	36.6%	17.2%	27.8%	48.8%	82.0%	48.2%	110.3%	40.2%	53.4%	130.9%	33.1%	87.0%	78.8%	14.1%	64.4%	43.9%	40.3%
Combined Ratio	103.3%	45.0%	84.6%	91.7%	67.4%	101.6%	92.9%	84.2%	-17.4%	79.1%	51.1%	99.1%	132.7%	92.8%	159.4%	99.9%	105.0%	134.4%	94.2%	113.1%	265.7%	17.6%	98.6%	75.7%	83.7%
Underwriting Margin	-3.3%	55.0%	15.4%	8.3%	32.6%	-1.6%	7.1%	15.8%	117.4%	20.9%	48.9%	0.9%	-32.7%	7.2%	-59.4%	0.1%	-5.0%	-34.4%	5.8%	-13.1%	-165.7%	82.4%	1.4%	24.3%	16.3%

	Appendix B: Statement of Financial Position-Insurers US\$'000																								
	Alliance	Allied	Altfin	C.B.Z	Cell	Champions	Clarion	Credsure	Eagle	Evolution	Excellence	Global	Hamilton	Heritage	KMFS	Nicoz	Quality	Regal	RM	Sanctuary	SFG	Tetrad Hail	Tristar	Zimnat	TOTAL
ASSETS																									
Non-Current Assets																									
Fixed Assets	893	421	426	443	537	1,182	206	2,086	2,510	236	245	293	315	1,364	153	1,672	323	753	1,346	37	833	0	314	2,864	19,452
Investments	3,656	171	1,509	241	182	70	496	558	213	122	307	495	669	676	691	7,528	638	1	5,833	884	208	2,097	2,766	1,629	31,641
	4,549	592	1,935	684	719	1,253	703	2,644	2,723	358	552	788	984	2,040	845	9,200	961	754	7,178	921	1,041	2,097	3,080	4,493	51,093
Technical Assets																									
Reinsurers' Share of O/S Claims	570	0	2,540	604	2,901	0	0	0	604	0	21	0	0	0	0	0	27	0	441	3	1,865	2,847	0	4,782	17,206
Unearned Commission Reserve	786	0	440	3,086	34	0	0	0	150	80	3	154	0	352	0	798	0	0	710	1	33	0	85	375	7,086
	1,356	0	2,980	3,691	2,935	0	0	0	754	80	23	154	0	352	0	798	27	0	1,151	4	1,898	2,847	85	5,157	24,292
Current Assets																									
Premium Receivables	7,238	898	4,477	2,102	2,741	585	290	2,896	975	414	246	324	123	2,431	931	6,933	104	222	966	58	1,748	146	1,489	2,999	41,334
Other Debtors & Inventory	1,028	22	1,073	12	2,956	305	567	590	609	184	26	19	23	852	0	265	17	199	(1,604)	22	92	706	516	463	8,942
Accrued Investment income	0	0	0	0	34	0	0	0	0	0	0	0	0	358	99	0	4	0	42	0	0	0	0	0	537
Cash & cash equivalents	651	92	125	1,636	2,398	185	305	98	203	587	44	8	55	383	16	770	119	8	4,895	92	21	175	58	1,101	14,026
	8,918	1,012	5,675	3,749	8,128	1,075	1,162	3,584	1,787	1,185	316	351	201	4,024	1,046	7,968	244	428	4,300	172	1,861	1,027	2,063	4,563	64,839
TOTAL ASSETS	14,823	1,604	10,590	8,124	11,783	2,328	1,864	6,227	5,264	1,623	892	1,292	1,186	6,415	1,890	17,966	1,232	1,182	12,629	1,098	4,800	5,971	5,228	14,213	140,224
LIABILITIES																									
Deferred Tax Liabilities	0	0	110	0	0	57	38	515	(165)	83	49	13	0	76	0	216	14	28	0	0	118	0	119	184	1,454
Long Term loan	0	13	0	53	0	0	0	0	0	0	0	0	0	0	0	1,402	0	0	0	51	136	0	0	1,000	2,655
Current Tax provisions	21	0	97	127	26	37	41	778	43	77	98	0	0	83	59	(66)	66	0	53	1	6	70	168	(31)	1,754
Gross Outstanding Claims	1,952	0	3,418	927	0	0	0	0	861	83	77	152	0	719	0	1,410	0	16	0	0	0	6	499	4,250	14,370
IBNR	3,040	262	0	0	3,730	51	0	0	0	0	0	0	48	0	248	2,997	93	0	1,936	6	2,411	0	0	0	14,822
UPR	3,928	0	2,090	3,732	0	823	734	0	1,351	295	20	389	144	1,797	178	3,990	0	66	0	0	0	0	1,294	3,611	24,442
Unearned Premium	0	218	0	0	2,751	0	0	0	0	0	0	0	0	0	0	0	462	0	4,646	24	656	0	0	0	8,758
Reinsurance & Other Creditors	3,181	378	2,547	1,801	702	220	0	2,172	440	112	63	202	66	2,453	0	0	23	275	0	151	2,054	3,155	1,394	1,756	23,147
Other Creditors	0	7	389	383	0	475	527	0	825	96	32	29	13	43	261	0	28	0	1,266	9	549	980	494	501	6,906
TOTAL LIABILITIES	12,122	878	8,651	7,023	7,209	1,663	1,339	3,464	3,356	747	339	785	270	5,171	746	9,949	686	385	7,901	242	5,931	4,211	3,968	11,271	98,307
SHAREHOLDERS' EQUITY																									
Share Capital	301	68	300	51	620	382	300	2	1	120	300	33	500	700	400	2,829	120	320	300	100	501	1,000	0	553	9,799
Share Premium	0	446	625	590	0	0	0	1,824	0	7	167	294	1,500	0	637	3,279	0	0	0	700	1,602	79	0	0	11,750
Revaluation & Other Reserves	1,141	0	422	0	715	3	111	167	2,937	0	0	134	0	180	0	0	49	265	1,339	0	298	344	2,498	1,260	11,864
Retained Profit	1,259	212	592	461	3,239	281	114	769	(1,030)	749	86	47	(1,096)	364	107	1,908	377	212	3,088	55	(3,530)	338	(1,238)	1,130	8,494
Shareholders's Equity	2,701	726	1,939	1,101	4,574	665	525	2,763	1,908	876	553	507	904	1,244	1,144	8,016	546	798	4,728	855	(1,130)	1,761	1,260	2,942	41,907
TOTAL EQUITY & LIABILITIES	14,823	1,604	10,590	8,124	11,783	2,328	1,864	6,227	5,264	1,623	892	1,292	1,175	6,415	1,890	17,965	1,232	1,182	12,629	1,098	4,800	5,972	5,228	14,213	140,213
Key Ratios																									
Shareholders' Equity / NWP	34.5%	299.8%	51.0%	82.7%	100.4%	42.5%	39.7%	233.6%	56.9%	79.3%	125.0%	75.3%	272.6%	46.6%	337.5%	111.5%	100.0%	171.3%	59.5%	1057.3%	-98.0%	42.0%	50.7%	83.6%	71.9%
% of Debtors / Total Assets	48.8%	56.0%	42.3%	25.9%	23.3%	25.1%	15.5%	46.5%	18.5%	25.5%	27.6%	25.0%	10.4%	37.9%	49.2%	38.6%	8.4%	18.8%	7.7%	5.3%	36.4%	2.4%	28.5%	21.1%	29.5%
% of Investments / Total Assets	24.7%	10.7%	14.2%	3.0%	1.5%	3.0%	26.6%	9.0%	4.0%	7.5%	34.4%	38.3%	56.4%	10.5%	36.6%	41.9%	51.8%	0.1%	46.2%	80.5%	4.3%	35.1%	52.9%	11.5%	22.6%

Appendix C: Statement of Comprehensive Income-Reinsurers US '000

	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Zep Re	Total
Gross Written Premiums	11,075	1,397	7,112	10,368	4,653	553	5,708	9,219	2,288	52,374
Reinsurance Premiums	1,335	627	910	5,875	829	166	1,640	1,682	447	13,511
Net Written Premiums	9,740	771	6,201	4,494	3,824	387	4,068	7,538	1,841	38,864
Net Earned Premiums	8,152	558	4,925	4,019	3,259	359	3,622	6,344	1,105	32,342
Net Incurred Claims	3,459	57	1,993	1,742	1,666	105	1,840	2,370	850	14,082
Net Commission Incurred	2,786	171	1,940	951	995	90	890	1,972	661	10,458
Technical Result	2,502	329	1,283	1,326	754	164	981	2,002	(639)	8,703
Operating Expenses	5,697	242	1,023	1,167	679	116	367	1,497	123	10,911
Underwriting Result	(3,195)	87	260	159	75	48	614	505	(763)	(2,208)
Investment										
Investment Income	238	14	309	97	(15)	0	68	153	33	897
Unrealised Gains/Losses	(141)	0	(52)	(234)	0	2	0	0	0	(425)
Other Income	0	0	97	0	0	0	0	0	0	97
Profit Before Tax	(3,097)	103	619	23	60	50	682	658	(730)	(1,632)
Key Ratios										
Market Share based on GWP	21.1%	2.7%	13.6%	19.8%	8.9%	1.1%	10.9%	17.6%	4.4%	100.0%
Market Share based on NWP	25.1%	2.0%	16.0%	11.6%	9.8%	1.0%	10.5%	19.4%	4.7%	100.0%
Retention Ratio	87.9%	55.2%	87.2%	43.3%	82.2%	70.0%	71.3%	81.8%	80.5%	74.2%
NEP/ NPW	83.7%	72.3%	79.4%	89.4%	85.2%	92.8%	89.0%	84.2%	60.0%	83.2%
Net Claims/NEP	42.4%	10.2%	40.5%	43.3%	51.1%	29.2%	50.8%	37.4%	76.9%	43.5%
Net Commission Ratio	34.2%	30.7%	39.4%	23.7%	30.5%	25.1%	24.6%	31.1%	59.9%	32.3%
Net Expense Ratio	69.9%	43.5%	20.8%	29.0%	20.8%	32.3%	10.1%	23.6%	11.2%	33.7%
Combined Ratio	146.5%	84.4%	100.6%	96.0%	102.5%	86.6%	85.5%	92.0%	148.0%	109.6%
Underwriting Margin	-46.5%	15.6%	-0.6%	4.0%	-2.5%	13.4%	14.5%	8.0%	-48.0%	-9.6%

Appendix D: Statement of Financial Position-Reinsurers US\$'000

	Baobab	Colonade	FBC Re	FMRE	Grand Re	New Re	Tropical	ZB Re	Zep Re	Total
ASSETS										
Non-Current Assets										
Fixed Assets	1,381	0	382	182	369	177	284	677	126	3,579
Investments	32,461	476	3,173	5,518	8,785	384	1,741	1,317	950	54,805
	33,842	476	3,556	5,700	9,154	561	2,025	1,994	1,076	58,384
Technical Assets										
Reinsurers' Share of Outstanding Claims	0	0	4,713	0	451	0	0	0	54	5,218
Provision for Unearned Commision Reserve	1,939	0	949	492	711	0	0	0	233	4,324
	1,939	0	5,662	492	1,162	0	0	0	287	9,542
Current Assets										
Premium Receivables	6,212	1,097	2,617	1,865	2,385	477	4,012	4,607	0	23,272
Other Debtors & Inventory	2,887	61	357	224	12	13	162	280	421	4,418
Accrued Investment income	11	0	58	43	0	0	329	0	33	476
Cash & cash equivalents	312	12	4,869	129	596	59	518	1,663	119	8,276
	9,422	1,170	7,901	2,262	2,993	549	5,021	6,550	573	36,441
TOTAL ASSETS	45,203	1,646	17,119	8,454	13,309	1,110	7,046	8,544	1,936	104,368
LIABILITIES										
Deferred Tax Liabilities	296	0	(675)	(458)	0	0	(46)	654	0	(229)
Current Tax provisions	15	0	(6)	0	0	20	0	(137)	0	(108)
Long term loan	0	0	0	0	300	0	0	0	0	300
IBNR	3,929	0	0	0	984	0	1,167	815	0	6,894
Gross Outstanding Claims	0	24	6,663	497	0	72	0	432	454	8,142
UPR	0	213	3,017	1,854	0	286	0	2,429	736	8,537
Unearned Premiums	5,171	0	0	716	1,892	0	1,647	0	0	9,426
Reinsurance & Other Creditors	5,173	0	1,906	1,447	333	219	2,207	879	0	12,165
Other Creditors	1,778	804	0	187	130	0	187	0	0	3,087
TOTAL LIABILITIES	16,361	1,042	10,906	4,243	3,639	597	5,162	5,073	1,190	48,214
SHAREHOLDERS' EQUITY										
Share Capital	400	5	600	1	400	400	227	5	1,475	3,513
Share Premium	23,972	548	2,203	3,004	0	0	0	495	0	30,222
Revaluation & Other Reserves	6,613	0	3,225	254	5,246	141	0	11	(730)	14,759
Retained Profit	(2,144)	52	185	952	3,969	(28)	1,658	2,960	0	7,604
Shareholders's Equity	28,842	604	6,213	4,210	9,615	513	1,885	3,471	745	56,098
TOTAL EQUITY & LIABILITIES	45,203	1,646	17,119	8,454	13,254	1,110	7,047	8,544	1,936	104,312
Key Ratios										
Shareholders' Equity / NWP	296.1%	78.4%	100.2%	93.7%	251.4%	132.6%	46.3%	46.0%	40.5%	144.3%
% of Debtors / Total Assets	13.7%	66.6%	15.3%	22.1%	17.9%	43.0%	56.9%	53.9%	0.0%	22.3%
% of Investments / Total Assets	71.8%	28.9%	18.5%	65.3%	66.0%	34.6%	24.7%	15.4%	49.1%	52.5%